Transaction Compliance Check (TCC) — Standard Operating Procedure

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Status	SUPERSEDED by v4.1 (01 Aug 2026)
Owner	Head — Investor Services Operations, Validus
Approved by	Chief Operating Officer; Head — Compliance (RTA)
Applies to	Narmada Mutual Fund (NMF); Tungabhadra Mutual Fund (TMF) — read with any client addendum
Review cycle	Half-yearly or on regulatory change
Classification	Internal — Validus and serviced AMCs only

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1. Purpose

This procedure sets out the checks the Transaction Compliance Check (TCC) desk performs on purchase, systematic investment, redemption and change-of-bank requests received for the mutual funds serviced by Validus as Registrar and Transfer Agent (RTA), before those requests are processed, and the outcome the desk records for each request.

The procedure implements, for the serviced AMCs, the relevant provisions of the SEBI Master Circular for Mutual Funds, the SEBI circulars on KYC validation by KRAs, the SEBI AML/CFT Master Circular, and AMFI Best Practice Guidelines on third-party payments, bank mandates and distributor codes, as adopted by each AMC. Where an AMC has issued a client addendum, the addendum prevails over this procedure for that AMC to the extent of any difference.

2. Scope

2.1 In scope: fresh and additional purchases, SIP registrations and SIP instalments, redemptions, and change-of-bank-mandate (COB) requests received by the TCC desk mailbox, the service centres or the transaction feed, for individual, minor, HUF and NRI investors.

2.2 Out of scope: exchange and demat-platform transactions (handled by the exchange desk), transmission and nomination servicing, NAV and unit allotment computation, and any decision on whether to report a transaction to FIU-IND, which rests with the AMC.

3. Roles and responsibilities

Role	Responsibility in this procedure
TCC Maker	Checks the request against Sections 4–8, records the checks, proposes the outcome and drafts the reply.
TCC Checker	Verifies the maker's checks and approves outcomes listed in Annexure A as requiring checker approval.
Operations Manager — Investor Services	Approves payout holds and referrals; owns SLA breaches and escalations.
AMC Compliance / Principal Officer	Receives referrals; decides on any further action, including reporting. The RTA does not decide or report.
Service Automation (system)	May retrieve records, run defined checks and propose an outcome. May not approve an outcome reserved to a role in Annexure A.

3.2 Viewing access to a folio does not confer authority to approve an outcome. Approval authority is as set out in Annexure A only.

4. KYC verification

4.1 The KYC status of the first holder (and, for minors, of the minor; for joint folios, of all holders for new folios) is read from the KRA lookup. The lookup is refreshed daily at 06:00; the desk uses the latest snapshot and records the KRA, status code and time of the lookup.

4.2 The KRA status determines which requests may be accepted, as follows:

KRA status	New folio — new AMC	New folio — AMC already held	Additional purchase / SIP	Redemption
KYC Validated	Accept	Accept	Accept	Accept
KYC Registered	Do not accept — fresh KYC required (4.3)	Accept	Accept	Accept
On Hold	Do not accept	Do not accept	Do not accept (4.4)	Refer to Operations Manager
KYC Rejected	Do not accept	Do not accept	Do not accept (4.4)	Refer to Operations Manager
Under Process / Not Available / service not reachable	Pend (4.5)	Pend (4.5)	Pend (4.5)	Pend (4.5)

4.3 An investor whose status is KYC Registered may continue to transact in folios with AMCs where the investor already holds a folio. A request to open a folio with an AMC where the investor holds no folio is pended (reason KYC_REGISTERED_NEW_AMC) and the investor is asked to complete fresh KYC (Aadhaar-based where possible) so that the status becomes KYC Validated.

4.4 Financial transactions of an investor whose status is On Hold or KYC Rejected are not accepted (reason KYC_ON_HOLD or KYC_REJECTED). The reply asks the investor to update KYC with a KRA or intermediary; it does not state any other reason.

4.5 Where the KRA lookup returns Under Process, Not Available or 'web service not reachable', or the latest lookup for the investor is older than 24 hours, the KYC check is recorded as UNABLE_TO_VERIFY and the request is pended (reason KYC_UNABLE_TO_VERIFY) for re-check in the next lookup cycle. An unavailable lookup is never treated as a pass.

4.6 The name and date of birth on the request must match the KRA record for the PAN. Initials, salutations and name order differ across systems; the PAN and folio, not the name, identify the investor.

5. Third-party payments

5.1 A payment is a third-party payment when it is made from a bank account of which the first holder of the folio is not an account holder. For a joint bank account, the first holder of the folio must be one of the holders of the bank account. A payment from the first holder's own account is not a third-party payment even where that account is not registered on the folio; see 5.6 for the proof required.

5.2 Third-party payments are not accepted except in the situations in 5.3 and 5.4.

5.3 The following third-party payments are accepted when every document listed is received:

Situation	Documents required
Employer paying for employee(s) — SIP or lump sum through payroll or expense-reimbursement deduction	Third Party Payment Declaration; employer declaration on letterhead; list of employees with employee code, PAN and KYC details on letterhead; KYC acknowledgement of investor and of employer
Custodian paying for an FPI or client	Third Party Payment Declaration; custodian SEBI registration number and validity; KYC of investor and custodian
AMC paying its empanelled distributor commission in units	Declaration; list of distributors with ARN
Corporate paying its agent/dealer/distributor incentive in units	Declaration; list on letterhead with PAN and KYC; KYC of corporate
Parent, grandparent or related person paying for a minor — up to Rs 50,000 per purchase or SIP instalment	Third Party Payment Declaration stating the relationship; KYC of payer

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5.4 Minor folios. A payment from the bank account of the minor or from a joint account of the minor with the guardian is accepted. Payments by a parent, grandparent or related person are accepted up to Rs 50,000 per purchase or SIP instalment under 5.3 with the declaration and the payer's KYC.

5.5 Minor attaining majority. From the date the minor attains majority, all transactions, standing instructions and systematic registrations (SIP, STP, SWP) in the folio are suspended and the guardian may no longer operate the folio, until the major submits the change-of-status form, their own KYC and new bank details. Instalments falling due after that date are pended (reason MINOR_ATTAINED_MAJORITY) and the guardian and the major are informed of the documents required.

5.6 Source of funds is verified by payment mode:

Payment mode	Evidence that identifies the paying account
Cheque	Account number and holder name pre-printed on the cheque; otherwise a copy of passbook/statement or a bank letter
NEFT / RTGS / IMPS / fund transfer	Remitter account and name from the bank credit feed; where the account is not registered on the folio, a copy of the transfer instruction or a bank statement showing the debit
Net banking / UPI	Debit account returned by the payment gateway, matched to the registered pay-in accounts
NACH / OTM	The registered mandate account
Demand draft / pay order	Issuing banker's certificate with account holder name and debited account
Cash	Not a means of verifying the payer; see 8.5

5.7 Outcome. A third-party payment that falls outside 5.3 and 5.4 is rejected (reason TPP_NO_EXCEPTION) and the money is refunded to the remitting account. A payment within 5.3 with any listed document missing is pended (reason TPP_DOCS_MISSING); the reply lists each missing document. A ticked enclosure box on a form is not a substitute for the enclosure. If the documents are not received within 30 days the request is rejected.

6. Bank mandates and change of bank

6.1 A folio may register up to five bank accounts (individuals and HUFs) or ten (non-individuals), one of which is the default account. An account is registered only after verifying that the first holder of the folio is a holder of the account.

6.2 Redemption and IDCW proceeds are paid only to a registered bank account with status VALIDATED. An account named in a redemption request that is not registered and validated on the folio is disregarded and the default account is used, subject to 6.4.

6.3 A change-of-bank (COB) request requires proof of the new account (cancelled cheque with the first holder's name printed, statement or passbook not older than three months, or bank letter) and proof of the existing account or in-person verification. The new account is validated by penny drop or NPCI PAN-based validation before its status becomes VALIDATED.

6.4 Cooling period. Where a COB request is received with a redemption request, the COB is processed separately and the redemption is paid to the existing registered account.

6.5 Where the registered mobile number or email of the folio changed within the 30 days before a COB request, and a redemption is requested while the COB is within its cooling period, the request is treated as high risk: the payout is held and the request is referred to the Operations Manager and AMC Compliance (outcome HOLD_AND_REFER, reason HIGH_RISK_CONTACT_COB). Both the old and new contact details are informed of the change of bank.

7. Distributor codes (ARN and EUIN)

7.1 The ARN quoted on a Regular-plan transaction is validated at the time of processing against the distributor master (AMFI data as loaded by Validus) and the AMC's empanelment list.

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7.2 A Regular-plan transaction quoting an expired or invalid ARN is processed in the Regular plan and, if a valid ARN is not received within 30 calendar days, is reprocessed into the Direct plan without exit load.

7.3 Where the EUIN is blank, the transaction is processed in the Regular plan; a valid EUIN must be provided within 30 days and commission is withheld until then, unless the investor's signed execution-only declaration accompanies the transaction (reason EUIN_MISSING for follow-up).

7.4 An SIP registered under a valid ARN remains in the Regular plan for its tenure.

8. Red flags and referral

8.1 The TCC desk identifies and refers. It does not conclude that a transaction is suspicious, does not report to FIU-IND, and does not inform the investor or distributor that a referral has been made.

8.2 Referrals are made to the AMC's Compliance team / Principal Officer through the referral queue with the request, the records relied on and the reason code, after Operations Manager approval of any payout hold.

8.3 Indicative referral triggers (an AMC addendum may add to these):

Trigger	Reason code
Purchase(s) and redemption(s) each of Rs 25,00,000 or more within 14 days in the same folio	REFERRAL_TRIGGER
Redemption during a COB cooling period after a recent contact change (6.5)	HIGH_RISK_CONTACT_COB
Cash beyond the limit in 8.5	CASH_LIMIT_BREACH
Any request on a folio under STOP/LOCK (8.4)	STOP_LOCK

8.4 STOP/LOCK folios. A folio flagged STOP_LOCK in the folio master (for example where a distributor or its employee appears as a joint holder or nominee of an unrelated investor) may not have any financial transaction processed by the desk. The request is held and referred (outcome HOLD_AND_REFER, reason STOP_LOCK); only AMC Compliance may lift the lock.

8.5 Cash. Cash investments are accepted only up to Rs 50,000 per investor (by PAN of the first holder), per AMC, per financial year (April–March), aggregated across all folios and schemes of that AMC. A cash investment that would take the total above Rs 50,000 is rejected (reason CASH_LIMIT_BREACH) and refunded; redemption proceeds are never paid in cash.

8.6 Replies to investors on held, pended or referred requests state only the processing status and any document required. They never mention a referral, suspicion, compliance review or reporting.

9. Outcomes and reason codes

9.1 Each request receives exactly one outcome:

Outcome	Meaning
PROCEED	All checks passed; process as requested
PROCEED_MODIFIED	Process with a change this procedure requires (e.g. Direct plan under 7.2)
PEND	Hold in abeyance for a document, a re-check or a period; reply states what is needed
REJECT	Not acceptable under this procedure; refund where money was received
HOLD_AND_REFER	Hold any payout and refer to the Operations Manager and AMC Compliance
INVALID_REQUEST	Folio or investor cannot be identified, or identifiers conflict; ask the sender to clarify

9.2 Where more than one rule applies, the outcome is the first in this order: INVALID_REQUEST, REJECT, HOLD_AND_REFER, PEND, PROCEED_MODIFIED, PROCEED. All applicable reason codes are recorded.

9.3 Reason codes: KYC_ON_HOLD, KYC_REJECTED, KYC_REGISTERED_NEW_AMC, KYC_UNABLE_TO_VERIFY, TPP_NO_EXCEPTION, TPP_DOCS_MISSING, BANK_PROOF_REQUIRED,

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MINOR_ATTAINED_MAJORITY, COB_COOLING, HIGH_RISK_CONTACT_COB, ARN_INVALID_DIRECT, EUIN_MISSING, REFERRAL_TRIGGER, STOP_LOCK, CASH_LIMIT_BREACH, FOLIO_NOT_FOUND, FOLIO_PAN_MISMATCH.

9.4 A request whose folio number does not exist in the folio master, after allowing for formatting differences, or whose folio and investor details conflict, is INVALID_REQUEST (reason FOLIO_NOT_FOUND or FOLIO_PAN_MISMATCH). The desk does not substitute a similar folio.

9.5 The case record holds: the request, the records and document versions relied on with their identifiers, each check and its result, the outcome and reason codes, the approver and the time of approval, and the reply sent.

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Annexure A — Approval matrix

Outcome	Who may decide	Approval required
PROCEED	Maker (checker samples 10% daily)	None
PEND	Maker	None
INVALID_REQUEST	Maker	None
PROCEED_MODIFIED	Maker proposes	TCC Checker
REJECT	Maker proposes	TCC Checker
HOLD_AND_REFER	Maker proposes	Operations Manager (hold); referral to AMC Compliance

Annexure B — Reply guidance

Replies are sent from the TCC desk mailbox within the SLA in Annexure C, in plain language, quoting the folio and the request. A pend lists each document or action required and where to send it. A rejection states the reason in terms of this procedure and the refund route. A hold or referral states only that the request is under processing and the expected date of the next update (8.6).

Annexure C — Service levels

Request	Desk SLA
Purchase / SIP check	Same business day if received by 1:00 pm; otherwise next business day
Redemption check	Same business day (payout timelines per SEBI: 3 working days)
COB	Validation within 10 business days of a complete request

Annexure D — Revision history

Version	Date	Change
3.0	01 Jun 2024	KYC status matrix updated for KRA validation (Validated / Registered / On Hold)
3.2	01 Jan 2025	Minor folio payments; invalid ARN handling; COB cooling clarified

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